

3.7. INCUBATION BIAS

Mutual fund companies start mutual funds like Jesus' parable of the sower, where only the seed that falls on fertile ground takes root, springs up, and is harvested. Fund companies start multiple funds privately, and at the end of an evaluation period, they open them to the public. The *incubation bias* is the tendency of fund sponsors to open up and market only the successful funds. The opened funds have *selection bias*. Evans (2012) shows that funds in incubation have returns that are nearly 10% higher than nonincubated funds.⁴² When these funds are open to the public, money flows in. But the success of these funds during incubation is mostly due to chance. Post-incubation, Evans finds that the outperformance disappears. There are dozens of Janus's incubated funds in Evans's database, but Janus is not alone in practicing incubation. In fact 23% of new funds are incubated.

Some fund companies engage in shady practices during incubation by *juicing* returns. Fund companies can preferentially allocate good deals to their incubated funds. For example, IPOs typically "pop" on the first day of trading and reach prices well above their issue price. Van Kampen and Dreyfus have both paid fines for unfairly allocating IPOs to their incubated funds.⁴³

3.8. OTHER AGENCY ISSUES

Governance matters in mutual funds.

Funds whose directors have more skin in the game—that is, whose directors have large ownership stakes—perform better.⁴⁴ Fees are lower at mutual funds with fewer and more independent directors. At the best-governed funds, fees are charged in line with performance. Funds with more independent boards have smaller fee hikes and larger fee cuts.

Then there is the dark side mutual fund governance.⁴⁵ Fund directors and advisory firms hire each other preferentially and often not based on merit. Mutual fund families strategically favor some funds that increase the firm's profits at the expense of fund shareholders.

The Employee Retirement Income Security Act of 1974 (see chapter 1) requires trustees to be prudent in finding suitable investments for their 401(k) clients.

⁴² See also Palmiter and Taha (2009).

⁴³ See SEC Release Nos. 1819 and 1870, respectively. Gaspar, Massa, and Matos (2006) study juicing. The tendency of IPO firms to increase from the offer price to the first day closing price is called *IPO underpricing*. Once IPOs list, they tend to perform poorly over two- to five-year periods compared to more seasoned companies, which is the *long-run IPO underperformance puzzle*. See Ritter and Welch (2002) for a literature summary of IPO issues.

⁴⁴ See Chen, Goldstein, and Jiang (2008) and Cremers et al. (2009) for the skin-in-the-game results. For the other results, see Tufano and Sevick (1997), Gil-Bazo and Ruiz-Verdu (2009), Adams, Mansi, and Nishikawa (2010), and Warner and Wu (2011). Dann, Del Guercio, and Partch (2003) show that closed-end funds with more independent boards also have superior performance.

⁴⁵ For these effects, see Kuhnen (2009) and Gaspar, Massa, and Matos (2006), respectively.